How the Germans do bus franchising

Franchising is one of the three main types of bus operation in Germany, accounting for 40% of all bus kilometres nationwide



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With several British authorities considering whether to franchise their bus services, Germany can provide a useful point of comparison. Franchising has played an increasingly important role in the German bus market over the past few decades. During this time, bus usage has remained stable and is currently growing, while car travel has declined, decreasing by 15% since 2007. At the same time, small and medium-sized operators (SMOs) have thrived, winning 70% of all tendered bus kilometres in 2025. While this partially reflects more general transport policies, the way bus services are planned and delivered has played an important role. This article outlines two of Germany's three main types of bus operation and their relevance to the UK and examines how franchising, in particular, is currently evolving.

Germany's varied operating landscape reflects a decentralised government structure. Several aspects of local transport policy are decided by Germany's 16 federal states and, within these, local municipalities and districts (Landkreise). There are three main types of operation: In-house municipal operation, representing 42% of all bus-km awarded in 2025, franchising (40%) and private, non-franchised operators (16%). This article focuses on the latter two models.

Franchising

Unlike in the UK, franchising in Germany is not the preserve of large urban areas like Greater Manchester: most major cities directly award their networks to in-house municipal operators. Instead, it is more common in towns and rural areas. The equivalent of the English Local Transport Authority (LTA), responsible for tendering bus services, may be the municipality, the Landkreis, a region or a Verkehrsverbund. The latter is a specially created body which plans local and regional public transport and provides integrated fares. Its area can cover several municipalities and Landkreise. For simplicity, all types of transport authority in Germany are referred to as LTAs in this article.

German LTAs have a large degree of freedom to design their franchises within the framework set by federal and European law. However, a typical franchising model has emerged. This involves gross-cost contracts, with the LTA setting fares and taking on the revenue risk. While franchise sizes vary greatly, the average in 2025 was 500,000 route-km per year, representing the service provided by about 10 buses. Operators are usually responsible for providing the depots, fleet and staff. Most contracts have a length of 8 to 10 years. The LTA sets the timetable for all routes, sometimes expressed as minimum frequencies throughout the day. Branding requirements range from carrying the LTA's logo on the bus to an LTA-wide unified livery and interior design.

This model has become the norm in Germany because of the following key advantages for LTAs and operators:

- It enables a high degree of integration with local and regional rail and tram systems; timetables, tickets and branding are often co-ordinated between the different modes.
- It helps LTAs to evaluate bids in a simple, transparent manner.
- It provides a level playing field for all operators and limits the advantages of incumbency; competing operators do not need to design timetables or have detailed knowledge of current passenger patterns.
- It removes key risks for operators, notably revenue risk.
- It is arguably SMO-friendly, as evidenced by the continuing high participation of SMOs in the German market.



A franchised bus in Kiel, Germany

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Indeed, a 2015 project carried out by KCW for the Zweckverband Süd-Niedersachsen (ZVSN), a rural LTA in Lower Saxony, highlighted the role of a simple, low-risk bidding process in ensuring sustained competition. After a period where several tenders attracted only one bid, KCW recommended measures including moving from a net-cost to a gross-cost model and mandating set quality standards, enabling an evaluation of tenders based on price alone. To reduce the complexity of bidding further, ZVSN fully specified the timetable for every route, including departure times at all stops. In the subsequent 2016 tender round, competition was significantly increased, with at least four bids received per lot. This enabled ZVSN to improve the service quality, including through better vehicles and enhanced working conditions for operators' employees, while avoiding real-terms cost increases. Ten years later, competition for tenders in the region remains significantly above pre-2015 levels.

It is worth noting that the typical German system requires LTAs to undertake service planning and to define quality standards, with at best very limited opportunities to draw on operator expertise in these areas. Generally, significant service changes can only be mandated at the tendering stage - a window of opportunity that only appears up to once every 10 years (though limited adjustments are possible within active contracts). LTAs must, therefore, commit to financing their bus networks over a much longer period than the annual budgetary cycle. Of course, this